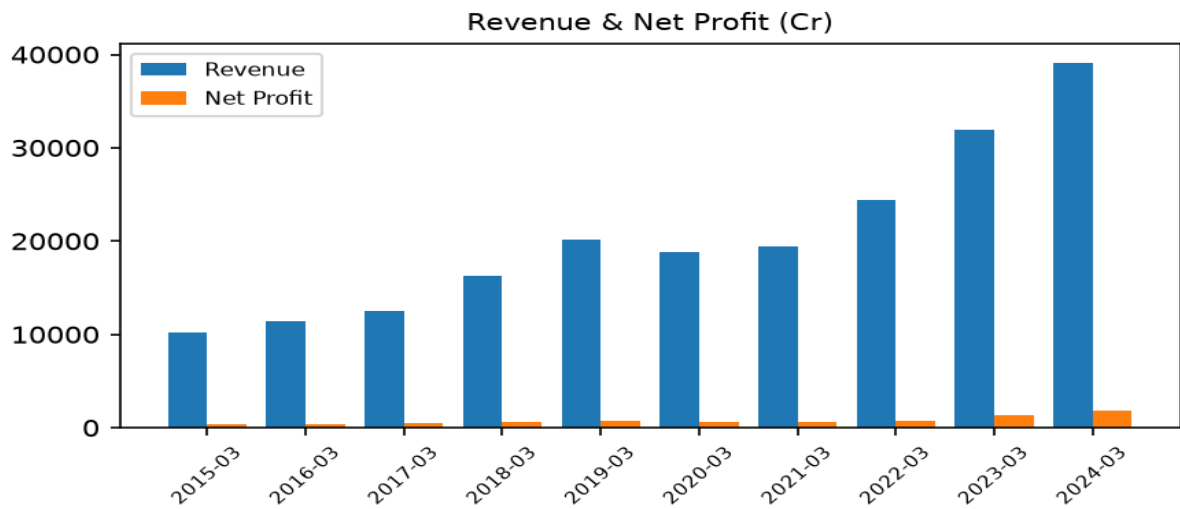


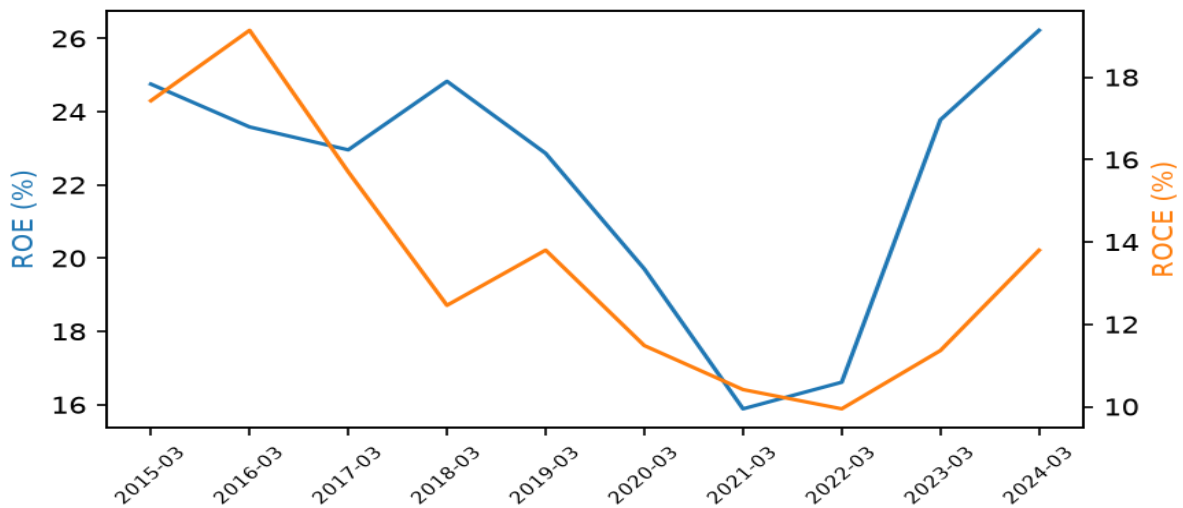
TVS Motor Company Ltd (TVSMOTOR)

ROE 26.2%	ROCE 13.8%	Net Profit Margin 4.5%
D/E 3.8	Revenue CAGR 5yr 14.2%	Free Cash Flow (Cr) -2254.0

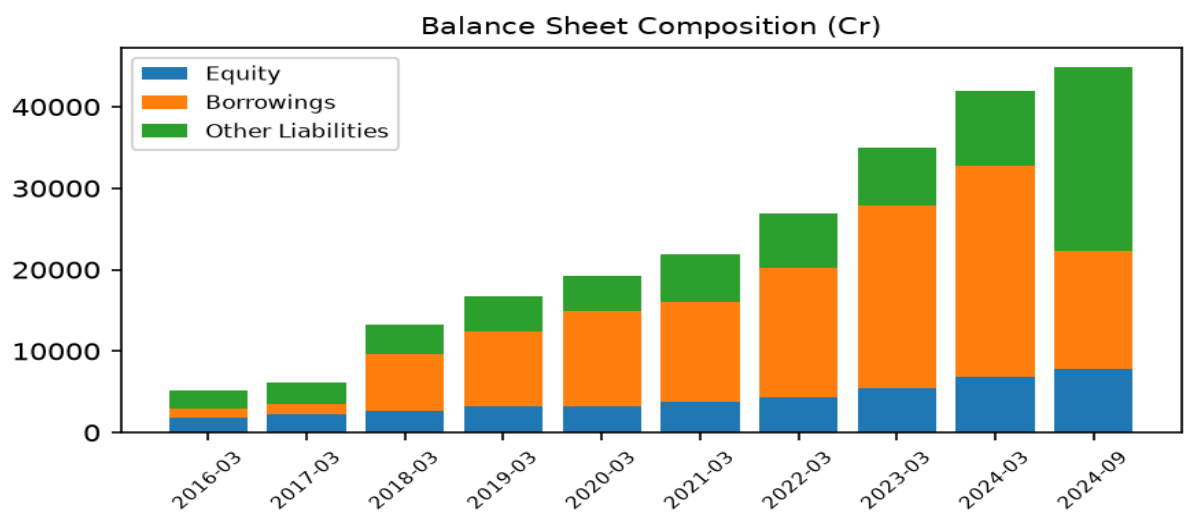
Revenue & Net Profit (10yr)



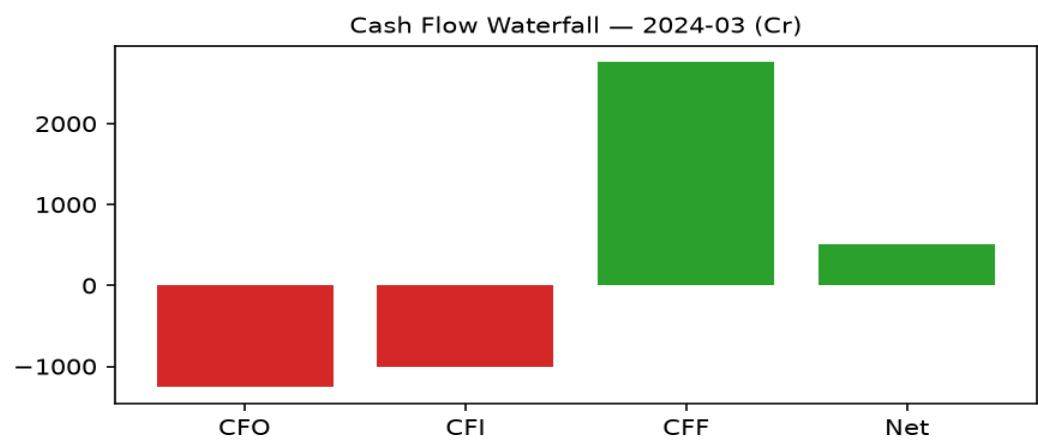
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Debt-to-equity ratio of 3.8 is elevated for a non-financial company and warrants monitoring
- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt